

Step 1: Identify the question requirement

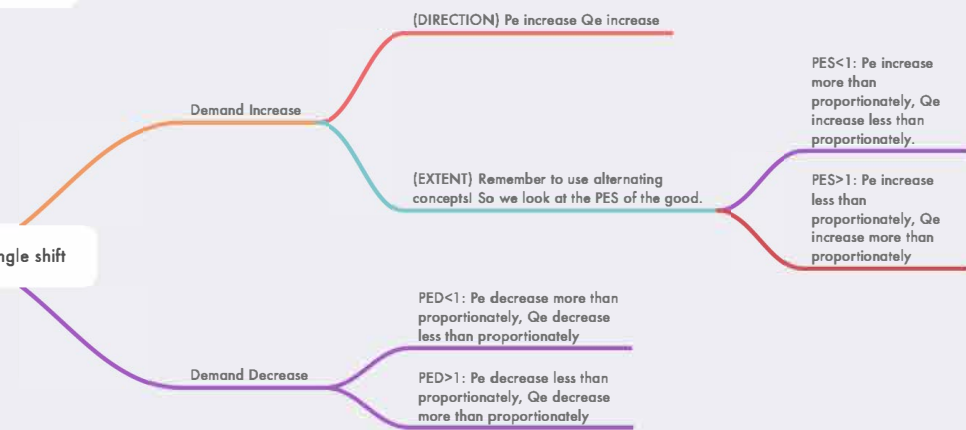
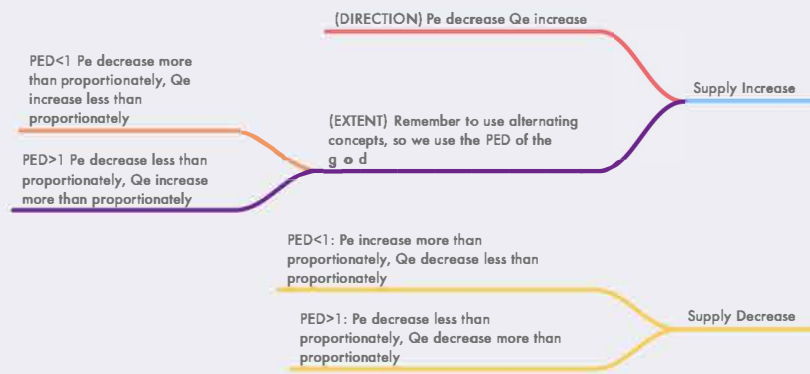
- "Market" = P_e and Q_e
- "Volume" = Q_e
- "Price" = P_e
- "Total Revenue/Consumer Expenditure" = $P_e \times Q_e$

Step 2: Identify the factors that affect Demand or Supply, using EGYPT and WETPIGS

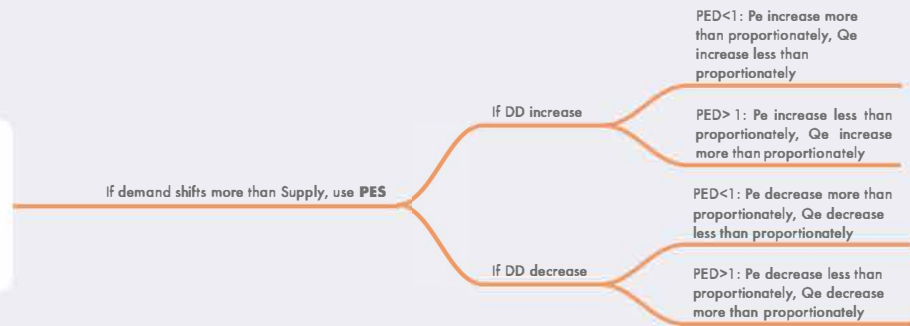
Supply Factors: (W) Weather Conditions (E) Expectations of Future Prices (T) Technology (P) Price of related goods - Joint Supply and Competitive Supply (I) Input Prices (G) Government Policies - Indirect taxes/subsidies (S) Supply Shocks + Number of Sellers

Demand factors: (E) Expectations of Future prices (G) Government Policies - Direct tax/Subsidy (Y) Income (P) Price of related goods - Price of substitutes and complements (T) Taste and Preferences

Step 3A: If there is a single shift



Step 3B: if there is a double shift, look at whether demand or supply shifts more! Do not look at the elasticities until you have determined whether DD or SS shifts more. Use the number of factors OR logic to determine with contextual evidence which one shifts more



Step 4: Evaluation/Comment (Optional) Remember: this is where you bash your own analysis, and say why your primary analysis might be wrong

- Inaccuracy of elasticity values
- Ceteris Paribus Assumption